

Minimum wages



Since 1999 the United Kingdom has enforced a legal minimum wage. What are the arguments for and against such a measure? A minimum wage interferes with the normal functioning of the labour market, in which wages are determined by the supply and demand of labour. Legal minimum wages are usually a fraction of the average wage, so in most segments of the labour market they have no impact.

In low-wage sectors, however, the minimum wage bites. Where the imposition of a legal minimum does raise the wage, the supply of labour increases and the demand for it falls. Because more people are seeking work than offering it, unemployment results, and the wage is not allowed to adjust downwards to bring supply back into line with demand. For this reason, some economists criticize the use of minimum wages. Others argue that the the unemployment effect of the minimum wage is limited, and that any disadvantages from this are outweighed by the improved living standards of low-income workers.